Kami Builders Sdn Bhd (Registration No. 198801009352 (176709-H)) ("Issuer")

Proposed establishment of an ASEAN Sustainability SRI Sukuk Programme of up to RM300.0 million in nominal value for the issuance of Islamic medium term notes ("SRI Sukuk Murabahah") based on the Shariah principle of Murabahah via Tawarruq ("ASEAN Sustainability SRI Sukuk Programme")

Other terms and conditions			**:**	
	(1)	**Details on utilisation of proceeds**	**:**	The proceeds from the issuance of SRI Sukuk Murabahah under the ASEAN Sustainability SRI Sukuk Programme shall be utilised by the Issuer for the following Shariah-compliant purposes: (i) to part finance/refinance the Eligible Project, including the Project which meets the requirements under the Issuer's ASEAN Sustainability SRI Sukuk Framework; (ii) to fund the working capital requirements of the Issuer solely in relation to the Eligible Project; (iii) to fund the profit payment in respect of the SRI Sukuk Murabahah during the construction period of the Eligible Project; (iv) to meet the T1 FSRA Minimum Required Balance or such other minimum required balances from time to time under the Designated Accounts; (v) to fund general corporate purposes comprising payment/reimbursement of the fees and expenses (including recurring fees and expenses) related to the ASEAN Sustainability SRI Sukuk Programme); and/or (vi) to refinance the SRI Sukuk Murabahah under the ASEAN Sustainability SRI Sukuk Programme. For avoidance of doubt, the proceeds from the issuance of SRI Sukuk Murabahah under the ASEAN Sustainability SRI Sukuk Programme shall only be utilised for the Eligible Project set out in the Issuer's ASEAN Sustainability SRI Sukuk Framework and for Shariah-compliant purposes only.
	(2)	**Status**	**:**	**<u>Secured SRI Sukuk Murabahah</u>** All payment obligations of the Issuer under the Secured SRI Sukuk Murabahah shall constitute direct, unconditional, secured and unsubordinated obligations of the Issuer, and shall at all times rank *pari passu* without discrimination, preference or priority amongst themselves and at least *pari passu* with all present and future unsecured and unsubordinated obligations of the Issuer, from time to time, subject to those preferred by law and the Transaction Documents. **<u>Unsecured SRI Sukuk Murabahah</u>** All payment obligations of the Issuer under the Unsecured SRI Sukuk Murabahah shall constitute direct, unconditional, unsecured and unsubordinated obligations of the Issuer, and shall at all times, rank pari passu without discrimination, preference or priority amongst themselves and at least pari passu with all other present and future unsecured and unsubordinated obligations of the Issuer, from time to time

				subject to those preferred by law generally and the Transaction Documents.
	(3)	**Tenure**	**:**	The Tranche 1 SRI Sukuk Murabahah shall have a tenure of up to 5 years. The tenure of each subsequent Tranche of SRI Sukuk Murabahah to be issued under the ASEAN Sustainability SRI Sukuk Programme shall be at least one (1) year, as the Issuer may elect and agree with the Lead Manager, provided always that the maturity of any of the SRI Sukuk Murabahah shall not fall after the expiry of the ASEAN Sustainability SRI Sukuk Programme.
	(4)	**Issue Price**	**:**	The SRI Sukuk Murabahah shall be issued at par, at a premium or at a discount to the nominal value and shall be determined prior to issuance. The issue price shall be calculated in accordance with the relevant rules and procedures of BNM.
	(5)	**Identified asset or Trust asset**	**:**	Shariah-compliant commodities, which exclude *ribawi* items in the category of medium of exchange such as currency, gold and silver available at commodity trading platform acceptable to the Shariah Adviser which will be identified on or prior to the time of issuance of the SRI Sukuk Murabahah ("**Commodities**").
	(6)	**Purchase and selling price/rental, where applicable - compliance with asset pricing requirements**	**:**	<u>Purchase Price</u> An amount equivalent to the proceeds raised from the issuance of the SRI Sukuk Murabahah. The Purchase Price shall be in compliance with the asset pricing requirements stipulated under the Guidelines on Islamic Capital Market Products and Services issued by the SC on 28 November 2022 and revised on 8 February 2024 (as amended or modified or revised or substituted from time to time) ("**ICMPS Guidelines**"). <u>Deferred Sale Price</u> An amount equivalent to the Purchase Price of the relevant SRI Sukuk Murabahah plus the disclosed profit margin to be determined prior to each issuance of the SRI Sukuk Murabahah and payable on a deferred payment basis.
	(7)	**Profit / coupon / rental rate**	**:**	**<u>SRI Sukuk Murabahah with Periodic Profit Payments</u>** The periodic profit payment rate for each Tranche of the SRI Sukuk Murabahah shall be based on a fixed or floating basis ("**Periodic Profit Payment Rate**") and shall be determined and agreed between the Issuer and the Lead Manager prior to the issuance.

				If the SRI Sukuk Murabahah is issued on a floating basis, such Periodic Profit Payment Rate shall be the aggregate of the Spread for Floating Rate (as defined herein) and the Relevant Floating Rate Benchmark (as defined herein) ("**Floating Periodic Profit Payment Rate**"), subject to the Maximum Periodic Profit Payment Rate (as defined herein). If the Floating Periodic Profit Payment Rate is higher than the Maximum Periodic Profit Payment Rate, the Issuer shall be obliged to make periodic profit payments at the Maximum Periodic Profit Payment Rate only. The Sukukholders consent to grant an Ibra' if the Floating Periodic Profit Payment Rate is lower than the Maximum Periodic Profit Payment Rate. "**Maximum Periodic Profit Payment Rate**" is a fixed maximum rate to be agreed between the Issuer and the Lead Manager for the purposes of calculating the periodic profit payments in determining the Deferred Sale Price for the SRI Sukuk Murabahah. "**Relevant Floating Rate Benchmark**" means the Kuala Lumpur Interbank Offered Rate for six-month (or such other relevant period) Ringgit deposits or such other appropriate benchmark rate for six (6) months (or such other relevant period) Ringgit deposits, to be agreed between the Issuer and the Lead Manager. "**Spread for Floating Rate**" means the spread to be determined at the point of issuance of the relevant SRI Sukuk Murabahah, where applicable, and expressed as a rate in per cent per annum, to be agreed between the Issuer and the Lead Manager. **<u>SRI Sukuk Murabahah without Periodic Profit Payments</u>** Not applicable.
	(8)	**Profit / coupon / rental payment frequency**	:	**<u>SRI Sukuk Murabahah with Periodic Profit Payments</u>** The Periodic Profit Payments are payable at semi-annual intervals or such other periodic intervals in arrears to be agreed in writing between the Issuer and the Lead Manager prior to the issuance of such SRI Sukuk Murabahah. **<u>SRI Sukuk Murabahah without Periodic Profit Payments</u>** Not applicable.
	(9)	**Profit / coupon / rental payment basis**	:	**<u>SRI Sukuk Murabahah with Periodic Profit Payments</u>** The Periodic Profit Payments shall be calculated on an actual number of days based on 365-day basis.

				<u>SRI Sukuk Murabahah without Periodic Profit Payments</u> Not applicable.
	(10)	**Taxation**	**:**	All payments by the Issuer under any of the Transaction Documents and the SRI Sukuk Murabahah shall be made without set-off or counter claim and shall be made in full without withholding or deductions for or on account of any present or future tax, duty or charge of whatsoever nature imposed or levied by or on behalf of the GOM or other applicable jurisdictions, or any authority thereof or therein having power to tax, unless such withholding or deduction is required by law, in which event the Issuer shall be required to make such additional amount so that the payee would receive the full amount which the payee would have received if no such withholding or deductions were made.
	(11)	**Sukuk Trustee's Reimbursement Account**	**:**	The Issuer shall, or the Sukuk Trustee shall, on behalf of the Issuer, set up a Shariah-compliant account known as "Sukuk Trustee's Reimbursement Account for Sukukholders' Actions" ("**Sukuk Trustee's Reimbursement Account**") with a sum of at least Ringgit Malaysia One Hundred Thousand (RM100,000.00) deposited therein. The Sukuk Trustee's Reimbursement Account shall be operated solely by the Sukuk Trustee and the money therein shall only be used strictly by the Sukuk Trustee in carrying out its duties in relation to the occurrence of an Event of Default which are provided in the Trust Deed. The sum of Ringgit Malaysia One Hundred Thousand (RM100,000.00) in the Sukuk Trustee's Reimbursement Account shall be maintained at all times as long as the ASEAN Sustainability SRI Sukuk Programme remains outstanding. The moneys in the Sukuk Trustee's Reimbursement Account may be used for Permitted Investments, with profit from the investment to be accrued to the Issuer. These moneys shall be returned to the Issuer upon full redemption of the ASEAN Sustainability SRI Sukuk Programme if no Event of Default takes place.
	(12)	**Transaction Documents**	**:**	The "**Transaction Documents**" shall include, but are not limited to, the following: (1) the programme agreement; (2) the Trust Deed; (3) the security trust deed; (4) the securities lodgement form; (5) the relevant Islamic documents;

				(6) the Security Documents; and (7) such other documents/agreements of whatsoever nature executed or to be executed in connection with the ASEAN Sustainability SRI Sukuk Programme as may be advised by the Solicitors. Any reference to the "**Transaction Documents**" shall mean each or any one or more of them.
	(13)	**Form and denomination**	**:**	Issuance of the SRI Sukuk Murabahah shall be in accordance with: (a) the Participation and Operation Rules of Payments and Securities Services (as amended and/or substituted from time to time) issued by BNM or its successor-in-title, assigns or any successor in such capacity ("**BNM Rules**"); (b) the Operational Procedures for Securities Services and Operational Procedures for Malaysian Ringgit Settlement in the Real Time Electronic Transfer of Funds and Securities System (as amended and/or substituted from time to time) issued by BNM or its successor-in-title, assigns or any successor in such capacity ("**BNM Procedures**"); and (c) any other procedures/guidelines/rules (as amended and/or substituted from time to time) issued by the relevant authorities from time to time. **<u>Form</u>** The SRI Sukuk Murabahah shall be issued in accordance with BNM Rules and BNM Procedures. Each issuance of SRI Sukuk Murabahah shall be represented by a global certificate to be deposited with BNM and is exchangeable for definitive certificates only in certain limited circumstances. **<u>Denomination</u>** The denomination of the SRI Sukuk Murabahah shall be Ringgit Malaysia One Thousand (RM1,000.00) or in multiples of Ringgit Malaysia One Thousand (RM1,000.00) thereof or such other denominations to be mutually agreed by the Issuer and the Lead Manager as may be allowed under the BNM Rules and BNM Procedures and/or any other procedures/guidelines issued by the relevant authorities at the time of issuance.
	(14)	**Definitions**	**:**	
		"Eligible Project"	**:**	The eligible projects which satisfy the eligibility criteria under either the green and/or social projects under the Sustainability and SRI Sukuk Guidelines/Framework is as follows or as may

				be identified in the Issuer's ASEAN Sustainability SRI Sukuk Framework: (i) Green projects that relate to: a. green buildings which meet regional, national or internationally recognised standards or certifications; (ii) Social projects that relate to: b. access to essential services; (iii) projects which are the combination of green and social projects as described in items (i) and (ii) above.